Wyoming (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published c. 21 Oct 2026 (Wyoming Gaming Commission, September 2026 Combined Wagering Activity Report; trade coverage 22–27 Oct 2026) · Currency USD (market reports in USD; tables in $m unless stated)

CONFIDENTIAL · INTERNAL
Prepared: 6 Nov 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

Wyoming is a sub-$30m-GGR, online-only, five-operator sportsbook market in which September 2026 handle fell 14.2% YoY to $23.4m (three NFL Sundays vs four, and a ~30% DraftKings retrenchment) while GGR rose 5.6% to $2.45m and state tax jumped 40% to $146.7k as promo deductions were cut. The real story for an operator is regulatory: a cheap ($100k/5-yr), uncapped licence and a 10%-of-net (≈6% of GGR) tax sit under a live 20% tax proposal, a 2027 felony sweepstakes ban and a legislature increasingly focused on the $2.5bn-handle historic-horse-racing machine market that dwarfs sports betting.

OSW HANDLE (SEP-26)	OSW GGR (SEP-26)	TAXABLE NET REVENUE	STATE TAX (10% OF NET)	9M-26 HANDLE	HHR TERMINAL HANDLE (SEP-26)
$23.42m	**$2.45m**	**$1.47m**	**$146.7k**	**$177.4m**	**$240m**
-14.2% YoY / +49% MoM	+5.6% YoY; hold 10.5% vs 8.5%	+40% YoY (promo deductions -32%)	+40.2% YoY; 6.0% effective on GGR	+9% YoY	+16% YoY; >10x sports handle

1 EXECUTIVE SUMMARY

- **A small, online-only, five-operator sportsbook market that just posted its first YoY handle decline in a football month.** September 2026 online sports wagering (OSW) handle was $23,417,556, -14.2% YoY from $27.3m (Sep-25) but +49% MoM from $15.7m (Aug-26); it was still the second-best month of 2026 after March ($28.5m). The calendar matters: September 2026 contained three NFL Sundays versus four in September 2025.
- **Revenue rose despite lower stakes because hold normalised.** GGR was $2.45m (+5.6% YoY from $2.32m) on a 10.5% hold versus an operator-unfriendly 8.5% a year earlier. GGR is gross win before promo deductions; it is not the tax base.
- **State tax jumped 40% on a shrinking handle because operators cut promotional spend.** Taxable 'online sports wagering revenue' (handle excluding free/promo wagers, less payouts, less 0.25% federal excise) was $1,466,874 vs $1.05m, so tax at 10% was $146,687 (+40.2% YoY, +7.3% MoM). Trade analysis of the WGC report puts promotional deductions -32.4% YoY; our derived total deductions (promo + excise) fell ~23% to ~$0.98m, i.e. promo ≈3.9% of handle vs ≈4.4%. Effective tax on GGR: 6.0% (Sep-25: 4.5%).
- **DraftKings' retrenchment accounts for the entire decline.** DK handle fell ~$4.7m to ~$11.1m (~-30% YoY), with share dropping from 57.8% to 47.3%, while the other four books added ~$0.8m combined. DK GGR held at $1.32m (~54% of state GGR, ~11.9% hold), consistent with it shedding low-margin, promo-driven volume rather than losing customers' wallet.
- **Challengers are taking share.** FanDuel $6.5m handle (+7.9%, 27.9% share, tax $30,180 ≈2x YoY); BetMGM $3.1m (-4.7%, 13.1%); Fanatics $1.8m (+13.1%, 7.7%); Caesars $0.90m (+42.2%, 3.9%). Fanatics paid $279 of tax on $2,786 of taxable revenue — deductions wiped out virtually all of its win, i.e. it is still in promo-led acquisition mode.
- **The market is still growing on a YTD basis.** Jan–Sep 2026 handle $177.4m (+9% YoY, implying ~$162.8m in 9M-25). FY2025: handle $234.5m, GGR $27.4m (+20% YoY, AGA citing WGC; Covers shows $27.25m, RG.org $25.9m — we use the WGC/AGA figure), tax $1.9m. Lifetime since the 1 Sep 2021 launch (LSR tally to mid-2026): handle ~$906m, GGR ~$96m, tax ~$6.0m — an effective 6.3% of GGR.
- **Online is 100% of commercial sports betting.** Wyoming authorised online-only sports wagering (W.S. 9-24-101 et seq., HB 133 of 2021, signed 5 Apr 2021); there is no commercial retail channel. Tribal casinos on the Wind River Reservation offer on-site sportsbooks under compact and are outside WGC statistics (GGR n/a).
- **Sports betting is a rounding error next to historic horse racing (HHR).** HHR terminal handle was $240m in September alone (+16% YoY vs $206.7m), more than 10x sports handle. FY2025 HHR handle $2.49bn (+18% vs $2.11bn), payouts $2.2bn, 1,314 active terminals across 46 approved locations, operator gross profit ~$180m after payouts and taxes (WGC director to legislators). Three licensees: Wyoming Horse Racing LLC, Wyoming Downs, 307 Horse Racing (March 2026 handle split $108.5m / $77.6m / $57.8m).
- **Skill-based amusement games (SBAG) are the third pillar.** 4,115 machines generated $133.7m gross revenue in 2025 (vs ~$95m in 2024, +41%), taxed at 20% of net proceeds; $2.75m distributed to municipalities. Machines are capped at four per licensed location (bars, truck stops, fraternal halls).
- **Licensing is open, cheap and long-dated.** Operator permit $100,000 initial and $50,000 renewal, each valid five years; vendor (supplier) permit $10,000 / $5,000 renewal, five years; statute requires the WGC to issue at least five operator permits and sets no cap. Applicants must already be licensed in at least three other US jurisdictions [per HB 133; not re-verified this session]. Minimum age 18.
- **The tax regime is among the lowest in the US and fully promo-deductible.** 10% of net OSW revenue, remitted monthly; first $300,000 per year to the Department of Health for county problem-gambling programmes, balance to the General Fund. LSO told legislators in May 2026 that the average OSW rate in other states is 19% and no neighbouring state is below 10%.
- **A doubling to 20% is the live fiscal threat.** In June 2025 the Select Committee on Capital Financing & Investments ordered draft bills to lift OSW tax from 10% to 20%, SBAG from 20% to 25% and pari-mutuel from 1.5% to 2.5%; the package died in September 2025 when House members blocked committee sponsorship after Sports Betting Alliance lobbying. The 2026 budget session saw no tax bill introduced (HB0171 on problem-gaming fund distribution was not even considered). Expect the 20% proposal to resurface for the January 2027 general session.
- **Enforcement direction: a felony sweepstakes ban is heading to the 2027 session.** The legislature's Select Committee on Gaming (created 2025, renewed 2026) voted 9-0 in October 2026 to sponsor a bill making the operation of online sweepstakes games a felony, after an August 2026 draft that also swept in online casino games stalled on definitional

doubts. WGC executive director Nick Larramendy warned that offshore iGaming/sweepstakes operators are using Wyoming LLCs as a front. A regulated iGaming bill (HB 162, 2025) failed and no 2026 iGaming measure advanced.

- **Payments are app-native.** Debit/ACH/e-wallet funding is standard; Wyoming's OSW rules are notable for expressly permitting digital, crypto and virtual-currency account funding [widely reported at launch; not re-verified this session]. No cash/retail channel exists for commercial books.
- **Responsible gambling and advertising rules are light-touch but tightening at the margin.** The $300k annual problem-gambling earmark is the main funding line (a 2026 proposal to add a further $300k from the industry was floated in committee); the WGC joined a national voluntary self-exclusion programme in December 2025; a May 2025 rule gives the WGC express power to exclude bettors who harass athletes. There is no state advertising code beyond the WGC rules and statute; age 18+ is among the lowest thresholds in the US.
- **Local control is emerging as a constraint on land-based growth.** Casper City Council set a June 2026 hearing on a 180-day moratorium on new HHR establishments; the Select Committee on Gaming is studying local control, a statutory purse floor for live racing, responsible-gaming funding and prediction markets.
- **Scale context.** Wyoming's $2.45m September GGR is ~0.2% of the US September total (~$1.08bn GGR on ~$12.5bn handle, RG.org tally). FY25 GGR equates to roughly $61 per adult (~$520 of handle per adult on ~450k adults) — healthy per-capita engagement in a tiny population.
- **Read-through for an operator weighing entry.** Entry cost is trivial ($100k) and the tax is the lowest effective rate in the US, but the addressable prize is ~$27–30m GGR a year, 75% of which sits with DraftKings and FanDuel. A sixth B2C sportsbook realistically targets a 5–10% share (~$1.5–3m GGR) — sub-scale for a standalone P&L. The more interesting angles are B2B/platform supply (vendor permit $10k) to HHR/ADW licensees, or using Wyoming as a low-cost regulatory 'reference licence' — provided the operator already holds three other US licences. A move to 20% tax would cut net margin by ~3–4pp of GGR; the sweepstakes ban removes grey-market competition.

2 MARKET SUMMARY

WYOMING — US $M (WGC DATA VIA SECONDARY READS; DERIVED FIGURES MARKED ~)	SEP-26	SEP-25	YOY	AUG-26	9M-26	FY-25
ONLINE SPORTS WAGERING (COMMERCIAL; 100% ONLINE)						
Handle (stakes)	23.42	27.30	-14.2%	15.71	177.4	234.5
GGR (gross win, pre-promo) FY-25 GGR: AGA/WGC $27.4m; Covers $27.25m; RG.org $25.9m (gap noted).	2.45	2.32	+5.6%	1.80	n/a	27.4
Hold % (GGR/handle)	10.5%	8.5%	+2.0pp	11.5%	n/a	11.7%
Promo/free-play + federal excise deductions (~derived) Trade read of WGC report: promotional deductions -32.4% YoY. Federal excise = 0.25% of handle (~$59k Sep-26).	~0.98	~1.27	~-23%	~0.43	n/a	n/a
Taxable net OSW revenue	1.47	1.05	+40%	~1.37	n/a	~19
State tax (10% of net)	0.147	0.105	+40.2%	~0.137	n/a	1.9
Effective tax rate on GGR	6.0%	4.5%	+1.5pp	7.6%	n/a	6.9%
OPERATOR HANDLE SHARE						
DraftKings	47.3%	57.8%	-10.5pp	49.9%	n/a	n/a
FanDuel	27.9%	~22.1%	+5.8pp	n/a	n/a	n/a
BetMGM	13.1%	~11.9%	+1.2pp	n/a	n/a	n/a
Fanatics	7.7%	~5.8%	+1.9pp	n/a	n/a	n/a
Caesars	3.9%	~2.3%	+1.6pp	n/a	n/a	n/a
OTHER WGC-REGULATED GAMING						
HHR terminal handle	240	206.7	+16%	n/a	n/a	2,490
HHR tax (1.9% of handle, ~est.)	~4.6	~3.9	+16%	n/a	n/a	~47 (of which $24.9m to local govts, reported)
SBAG gross revenue (coin-in)	n/a	n/a	n/a	n/a	n/a	133.7
HHR terminals / locations; SBAG machines	n/a	n/a	n/a	n/a	n/a	1,314 / 46; 4,115
REGIME						
Licensed OSW operators (active)	5	5	—	5	5	5
OSW tax base & rate	10% of net revenue (stakes ex-promo, less payouts, less 0.25% federal excise)	same	—	same	same	same
Operator permit fee / term	$100k initial; $50k renewal; 5 yrs	—	—	—	—	—
Vendor permit fee / term	$10k initial; $5k renewal; 5 yrs	—	—	—	—	—
Online share of commercial sports betting	100%	100%	—	100%	100%	100%

3 DEEP-DIVE — ONLINE SPORTS BETTING — SEPTEMBER 2026 PERFORMANCE AND OPERATOR DYNAMICS

Handle -14.2% to $23.4m on a three-Sunday September and a ~30% DraftKings pull-back; GGR +5.6% and tax +40% as promos were cut.

SEPTEMBER HANDLE

Handle fell 14.2% to $23,417,556 on a three-Sunday September, but the underlying market still expands at high single digits.

- Down from $27.3m in September 2025, which was itself a record September (+19% YoY); up 49% from August's $15.7m.
- 2026 NFL calendar delivered only three Sundays (13, 20, 27 Sep) versus four a year earlier, shifting roughly a quarter of football volume into October.
- Second-strongest month of 2026 behind March ($28.5m, March Madness).
- Nine-month handle of $177.4m is +9% YoY.

GGR, HOLD AND TAX

GGR rose 5.6% to $2.45m as hold recovered to 10.5%; the +40.2% tax jump is a promo-mix effect, not growth.

- Hold recovered to 10.5% from a bettor-friendly 8.5%; volatile all year: 12.1% January, ~7% March (GGR only $2.0m on $28.5m handle), 14.3% July, 11.5% August.
- Taxable net revenue (after free/promo wagers and 0.25% federal excise) $1,466,874 versus $1.05m; state tax $146,687 (+40.2% YoY, +7.3% MoM).
- Derived promo plus excise deductions ~$0.98m (~40% of GGR; promo ≈3.9% of handle) versus ~$1.27m (≈4.4% of handle) a year earlier; trade analysis quotes promotional deductions down 32.4%.
- Effective tax burden on GGR was only 6.0%.

OPERATOR DYNAMICS

DraftKings explains the whole decline, with handle down ~30% to ~$11.1m in what reads as a deliberate retreat from promo-subsidised volume.

- DraftKings handle fell ~$4.7m, share from 57.8% to 47.3% (66.6% in March); GGR held at $1.32m, roughly 54% of state GGR on ~11.9% hold.
- FanDuel $6.5m (+7.9%, 27.9% share), nearly doubled tax payment to $30,180 (≈$0.30m taxable).
- BetMGM $3.1m (-4.7%, 13.1%) 'recovered' from a weaker summer.
- Fanatics $1.8m (+13.1%, 7.7%) booked just $2,786 taxable revenue and $279 tax — a market-entry promo profile.
- Caesars $0.90m (+42.2%, 3.9%) remains a distant fifth; FanDuel, BetMGM, Fanatics and Caesars grew ~$0.8m combined.

MARKET STRUCTURE

Wyoming is a two-operator market: DraftKings and FanDuel hold ~75% of handle and probably >80% of GGR, leaving ~25% for entrants.

- Annual GGR of $27.4m (FY25) across five brands means the third-placed operator earns perhaps $2–3m a year before marketing.
- Available share pool for an entrant is the ~25% outside DK/FD, contested with promo spend that is itself tax-deductible.
- Promo deductibility is a modest advantage versus states that cap promo deductions.

FY2026 ESTIMATES

No WGC forecasts exist; our estimate is FY2026 handle of ~$250–255m (+7–9%) and GGR of ~$26–28m.

- Q4-25 handle was ~$71.7m; October 2026 carries an extra NFL Sunday and YTD trend is +9%.
- GGR estimate assumes 10.5–11% hold (estimates, not WGC figures).
- State OSW tax for FY26 should land near $1.6–1.9m depending on promo intensity.

SEP-26 BY OPERATOR — US $M (SHARES FROM WGC REPORT VIA TRADE READS; SEP-25 HANDLE BACK-SOLVED FROM REPORTED YOY)	HANDLE SEP-26	YOY	SHARE SEP-26	SHARE SEP-25	GGR / TAX DISCLOSED
DraftKings	~11.08	~-30% (-$4.7m)	47.3%	57.8%	GGR $1.32m (flat YoY; ~54% of state GGR; ~11.9% hold)
FanDuel	6.50	+7.9%	27.9%	~22.1%	Tax $30,180 (≈2x YoY) → taxable ≈$0.30m
BetMGM	3.10	-4.7%	13.1%	~11.9%	n/a
Fanatics	1.80	+13.1%	7.7%	~5.8%	Taxable $2,786; tax $279
Caesars	0.90	+42.2%	3.9%	~2.3%	n/a
Total market	**23.42**	**-14.2%**	**100%**	**100%**	**GGR $2.45m; net $1.47m; tax $146.7k; hold 10.5%**
Memo: Mar-26 (record month)	28.5	+36.3%	DK 66.6%	—	GGR $2.0m (~7% hold); DK handle $19.0m
Memo: Jul-26 / Aug-26	16.9 / 15.7	n/a	DK 51.9% / 49.9%	—	GGR $2.43m (14.3% hold) / $1.80m (11.5%); tax $184k / ~$137k

4 DEEP-DIVE — LICENSING & TAX REGIME

Uncapped, $100k five-year permits and a 10%-of-net tax (≈6% of GGR) — the cheapest regulated US entry ticket, but a 20% rate is on the legislative agenda.

STATUTORY FRAMEWORK

HB 133 (2021) taxes net revenue after uncapped promo deductions and 0.25% federal excise, so effective tax on GGR has averaged ~6.3% since launch.

- Codified at W.S. 9-24-101 through 9-24-106, signed by Governor Mark Gordon on 5 April 2021; first apps (DraftKings, BetMGM) live 1 September 2021.
- Effective tax on GGR has run between 4.5% (Sep-25) and 7.6% (Aug-26); $6.0m tax on ~$96m GGR since launch.
- Operators remit 10% monthly by the 15th; first $300,000 each year goes to Department of Health for county problem-gambling programmes, remainder to General Fund.

> *"the total of all wagers placed by patrons ... excluding the actual dollar value of free wagers and promotional play provided, minus all payments to patrons and minus any applicable federal excise taxes"* — **Statute**

PERMIT ECONOMICS

Entry costs are negligible by US standards: $100,000 initial operator permit, $50,000 renewal, each valid five years, with no cap on permits.

- Vendor permit (suppliers/platform providers) costs $10,000 initially and $5,000 on renewal, also five years.
- WGC must issue at least five operator permits with no maximum; no auctions or market-access partnerships with land-based licensees — unusual for the US.
- Applicants must hold sports wagering licences in at least three other US jurisdictions [HB 133 requirement as widely reported; not re-verified this session].
- LSO May 2026 report refers to six licensed operators; five active in September data, so a sixth permit holder may exist without a live product [unverified].

TAX RATE DEBATE

The tax debate is the key regulatory risk: a doubling of the OSW rate to 20% remains alive for the January 2027 general session.

- June 2025: Select Committee on Capital Financing & Investments voted to draft bills doubling OSW to 20%, lifting SBAG tax from 20% to 25% (highways), raising pari-mutuel from 1.5% to 2.5% of handle; chair called 20% a 'placeholder'.
- Sports Betting Alliance argued higher rates push play offshore and worsen odds; September 2025 sponsorship vote failed on House side, committee adjourned early.
- 2026 budget session produced no gaming tax bill; HB0171 (nine House sponsors) was not considered for introduction.
- LSO May 2026 briefing: average other-state OSW rate 19%, no neighbouring state below 10%, Wyoming collected just $3.8m on ~$69m of revenue through mid-2025.

COMMERCIAL IMPACT

A 20% rate would take ~$1.2 per $100 of handle versus ~$0.6 today, roughly 3–4pp of GGR off operator net margin.

- Impact would be larger if promo deductibility were also curtailed (not currently proposed).
- Wyoming GGR is ~0.2% of the US total, so national operators would absorb 20% without exiting.
- Pressure would fall on promo generosity and pricing — the lever an entrant would need to compete on.

RULE / PARAMETER	CURRENT POSITION	SOURCE / STATUS	PENDING OR PROPOSED CHANGE
Enabling law	W.S. 9-24-101–106 (HB 133, 2021); online-only	Statute, in force since 2021	None to the channel model; iGaming bills failed 2025–26
Regulator	Wyoming Gaming Commission (Casper); also pari-mutuel, HHR, SBAG	Statute	Central monitoring system bill draft failed Sep-25
Operator permit	$100k initial, $50k renewal; 5-year term; no cap, minimum 5 permits	W.S. 9-24-102 / HB 133	None
Vendor permit	$10k initial, $5k renewal; 5-year term	HB 133	None
Eligibility	Licensed in ≥3 other US jurisdictions [not re-verified]; suitability review	HB 133 (as reported)	None
Tax base	Net OSW revenue: stakes ex free/promo wagers, less payouts, less federal excise	W.S. 9-24-101(a)(vii)	No cap on promo deduction proposed
Tax rate	10% of net, monthly	W.S. 9-24-105	20% drafted Jun-25; failed Sep-25; expected to resurface 2027
Distribution	First $300k/yr → Dept of Health (county problem gambling); balance → General Fund	Statute; LSO May-26	HB0171 (2026) not introduced; +$300k industry contribution floated May-26
Federal excise	0.25% of handle (deductible from state base)	IRC; LSO May-26	Federal repeal bills pending, no action
Minimum age	18	Statute	None
Effective tax on GGR	Sep-26 6.0%; FY25 6.9%; lifetime ~6.3%	Derived from WGC data	Would roughly double under 20% proposal
SBAG tax	20% of net proceeds; max 4 machines/location	Statute; CDC Gaming / Cowboy State Daily	25% proposed (Jun-25), stalled
Pari-mutuel / HHR tax	1.5% live racing handle to WGC; HHR effective 1.9% of handle (0.4% breeders, 0.25% WGC, 0.25% LSRA, 1% local govts)	WGC director to Select Committee, May-26	2.5% proposed (Jun-25), stalled; purse-floor bill draft requested

5 DEEP-DIVE — HISTORIC HORSE RACING, SKILL GAMES, PARI-MUTUEL, TRIBAL & LOTTERY — THE LAND-BASED ECOSYSTEM

> **HHR terminals took $2.49bn in 2025 and $240m in September 2026 alone; the political and fiscal centre of gravity in Wyoming gaming is the machine floor, not the sportsbook app.**

HHR SCALE

HHR is Wyoming's dominant gaming product with $2.49bn handle in 2025 (+18%) and $240m in September 2026, more than ten times sports betting.

- 2025: up from $2.11bn in 2024, $2.2bn returned to players, 1,314 active terminals across 46 locations, three licensees (Wyoming Horse Racing LLC, Wyoming Downs, 307 Horse Racing).
- WGC director: operators retain roughly $180m gross profit after payouts and taxes; 1.9% handle levy produced $24.9m for cities and counties (1% local share), implying ~$47m total HHR tax (our estimate).
- September 2026 handle $240m, +16% YoY versus $206.7m; March 2026 was $243.9m.

HHR ECONOMICS AND POLITICS

Handle overstates HHR scale; net win is perhaps $290m a year, taxed at ~1.9% of handle (≈16% of net win, our estimate).

- Director's illustration: $1 deposited, won up to $5 and replayed produces $6 of 'handle'.
- Net win still an order of magnitude larger than the $27m sportsbook GGR.
- Committee examining a statutory floor on HHR revenue share funding live-racing purses.
- Casper (Natrona County, $2.89m of HHR distributions) set a June 2026 hearing on a 180-day moratorium on new HHR venues — first sign of local saturation politics.

SKILL GAMES

4,115 skill-game machines generated $133.7m gross revenue in 2025 (up from ~$95m), taxed at 20% of net proceeds.

- September 2024 example: $12.4m collected, $9.3m paid out, $3.1m net, ~$620k tax.
- Municipalities received $2.75m in 2025.
- Four-machine cap per location and proposed 25% rate are the live regulatory questions; Cowboy Skill Games and others lobbied that a rise hits small businesses.

RACING, TRIBAL, LOTTERY

Live racing, ADW, tribal casinos and WyoLotto are small or unpublished components of the ecosystem.

- Live racing: one track active in a typical month; ~$155k handled by Wyoming Horse Racing LLC in September 2024.
- DraftKings entered Wyoming ADW in 2026 with a trivial ~$21.7k monthly handle.
- Northern Arapaho (Wind River Hotel & Casino, Little Wind, 789) and Eastern Shoshone (Shoshone Rose) operate Class III casinos including on-site sportsbooks; GGR not published (n/a).
- WyoLotto sells draw games only, no instant tickets or iLottery; FY2026 sales not retrievable (n/a).

OPERATOR IMPLICATION

Regulated money sits in the HHR/SBAG channel, closed to new entrants in practice but open to B2B supply via a $10k vendor permit.

- Three HHR licensees tied to racetrack permits; SBAG distributor licensing.
- HHR licensees' pivot to larger venues ('Horse Palace'-type proposals in Casper) creates demand for systems, cashless and loyalty technology.

LAND-BASED & OTHER GAMING — US $M UNLESS STATED	2025	2024	YOY	TAX BASE & RATE	SEP-26
HHR terminal handle	2,490	2,110	+18%	1.9% of handle (0.4% breeders / 0.25% WGC / 0.25% LSRA / 1% local)	240 (+16% YoY)
HHR player payouts	2,200	n/a	n/a	—	n/a
HHR operator gross profit (post payouts & tax, WGC director)	~180	n/a	n/a	—	n/a
HHR distributions to cities & counties	24.9	n/a	n/a	1% of handle	n/a
HHR active terminals / approved locations	1,314 / 46	n/a	n/a	3 licensees	n/a
SBAG gross revenue (coin-in)	133.7	~95	+41%	20% of net proceeds; ≤4 machines per site	n/a
SBAG machines / local distributions	4,115 / 2.75	n/a	n/a	—	n/a
Live racing handle	n/a (≈$3m paid out to bettors)	n/a	n/a	1.5% of handle	n/a
Online sports wagering GGR (memo)	27.4	~22.8	+20%	10% of net revenue	2.45
Tribal casino GGR (Wind River)	n/a	n/a	n/a	Compact; not published	n/a
WyoLotto sales	n/a	n/a	n/a	Draw games only; no iLottery	n/a

6 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT — AND THE LEGISLATIVE DIRECTION OF TRAVEL

Light-touch RG and advertising rules, crypto-friendly funding, but a hardening line on grey-market sweepstakes/iGaming and a legislature hunting for revenue.

PAYMENTS

Funding is app-native and crypto-friendly, but no cash or retail channel caps reach and raises acquisition cost in a sub-600k population.

- Debit card, ACH/online banking and e-wallets dominate; 2021 OSW rules were first in US to expressly allow 'digital, crypto and virtual currencies' [widely reported; rule text not re-verified this session].
- Five national operators use standard US cashier stacks; market is fully KYC'd and geolocated.
- High acquisition cost per active relative to lifetime value is why promo deductions matter so much to operator margins.

RESPONSIBLE GAMBLING

RG architecture is minimal but being built out; Wyoming is among the least restrictive US jurisdictions on consumer protection.

- First $300,000 of OSW tax funds county problem-gambling treatment; May 2026 committee proposal would add a further $300,000 from industry; HB0171 (2026) never introduced.
- December 2025: Wyoming joined a national voluntary self-exclusion programme; May 2025 rule amendments allow exclusion of anyone who harasses an athlete.
- Minimum age 18 (versus 21 in most states), no statutory deposit or advertising limits — a reputational rather than commercial constraint for now.

ADVERTISING

No bespoke advertising code, bonus-ad bans, affiliate licensing or college-sports restrictions, but political sensitivity to industry campaigns is evident.

- Governed by general WGC rules and statute; only federal/NCAA norms apply.
- Committee chair in September 2025 criticised the industry's 'unhealthy marketing campaigns' against the tax bill, signalling a future operator-funded campaign could backfire politically.

ENFORCEMENT

Enforcement has shifted decisively against unlicensed online products, with a 9-0 vote to make online sweepstakes operation a felony.

- Select Committee on Gaming requested May 2026 bill draft to prohibit iGaming and 'similar online activities' after WGC director described offshore operators using Wyoming LLCs as a legitimacy front.
- August 2026 draft adding online casino and sweepstakes to professional-gambling definition stalled on doubts about existing statute and WGC capacity.
- October 2026: committee voted 9-0 to sponsor a narrower felony bill for 2027; VGW said it has offered sweepstakes in Wyoming since 2012 and Wyoming would be almost the only state to disallow free-entry models.
- Regulated iGaming failed twice (HB 120, HB 162), no 2026 bill advanced; prediction markets on study list but no action taken.

DIRECTION OF TRAVEL

Fiscal, definitional and local-control tightening with no appetite for new regulated verticals: mildly positive on competition, negative on margin.

- Tax rate, sweepstakes/iGaming definitions and land-based expansion all tightening.
- For a licensed operator: grey-market removal is positive, tax is negative.
- For a sweepstakes or offshore-facing brand it is an exit signal.

POLICY AREA	CURRENT RULE / STATUS	DATE & SOURCE	DIRECTION
Account funding	Debit, ACH, e-wallets; digital/crypto/virtual currency expressly permitted [not re-verified]	WGC OSW rules 2021	Stable
Minimum age	18	W.S. 9-24	Stable
Problem-gambling funding	First $300k/yr of OSW tax → Dept of Health → counties	Statute; LSO May-26	Proposal for +$300k industry contribution (May-26 committee)
Self-exclusion	WGC joined national voluntary self-exclusion programme	Dec-25 (WGC via Focus Gaming News)	Tightening
Athlete-harassment exclusion	WGC may exclude harassers from the market	May-25 rule amendments (AGA SoS 2026)	Tightening
Advertising	General WGC rules; no bespoke code, no affiliate licensing	Statute/rules	Stable; political sensitivity rising
Online sweepstakes	Draft bill: operation = felony; committee-sponsored 9-0	Oct-26 Select Committee on Gaming (WyoFile/KOTA; Yogonet)	2027 session; likely to pass
Regulated iGaming	Not authorised; HB 120 / HB 162 failed; no 2026 bill advanced	2024–26 (LSR; Action Network)	No near-term prospect
Prediction markets	Under study by Select Committee; no state action	2026 committee charge	Watch
Central monitoring system	Bill draft failed	Sep-25 Capital Financing committee	Dormant
Local control (HHR venues)	Casper 180-day moratorium hearing set for 2 Jun-26	Oil City News May-26	Tightening at municipal level

7 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Lowest-cost regulated US entry: $100k operator permit for five years ($50k renewal), $10k vendor permit, no cap on permits and no land-based market-access tether — total licensing outlay for a decade is under $200k. structural
- Lowest effective tax in the US: 10% of net revenue with uncapped promo and federal-excise deductions yields ~6% of GGR (Sep-26 6.0%; FY25 6.9%), giving an entrant promo headroom that is partly state-subsidised. structural
- Market still growing high-single-digits: 9M-26 handle +9% to $177.4m after FY25 GGR +20% to $27.4m; per-adult GGR of ~$61 shows engaged customers despite a tiny population. structural
- The leader is retreating: DraftKings' share fell from 57.8% to 47.3% in a year as it cut promo-driven volume, and the four challengers grew $0.8m combined — share is contestable for a well-funded product. mixed
- Grey-market clearance ahead: a 9-0 committee-sponsored felony ban on online sweepstakes for the 2027 session, plus WGC focus on offshore LLC fronts, removes untaxed competition for licensed books. early
- B2B optionality in the dominant channel: HHR ($2.49bn handle, 1,314 terminals, three licensees expanding into larger venues) and 4,115 skill games create demand for platform, cashless and loyalty supply under a $10k vendor permit. structural
- Crypto-friendly funding rules and an 18+ age threshold widen the addressable base relative to 21+ states [funding rule not re-verified this session]. structural

▼ LOWLIGHTS

- Scale: ~$27m annual GGR, ~0.2% of US sports betting; a sixth brand realistically targets 5–10% share (~$1.5–3m GGR), sub-scale as a standalone P&L before marketing. structural
- Concentration: DraftKings + FanDuel hold ~75% of handle and likely >80% of GGR; Caesars after five years has 3.9% share and Fanatics is paying $279 of monthly tax after promo deductions — evidence that challengers' economics are thin. structural
- Tax-doubling risk: the 20% OSW rate (with SBAG 25% and pari-mutuel 2.5%) was drafted in June 2025, died on a procedural vote in September 2025 and is primed to return in the January 2027 general session; LSO has told legislators every neighbour taxes at ≥10% and the national average is 19%. watch
- Hold volatility and calendar effects dominate monthly results: hold swung from ~7% (Mar-26) to 14.3% (Jul-26); September 2026 handle fell 14% largely because of one fewer NFL Sunday — budgeting on monthly data is unreliable. one-off
- Eligibility gate: applicants must already hold licences in at least three other US jurisdictions [per HB 133; not re-verified], so Wyoming cannot be a first US licence. structural
- No product expansion path: regulated iGaming has failed twice, no 2026 bill advanced, and the Select Committee's instinct is to prohibit rather than regulate online casino-style products; sweepstakes/social casino business models face a felony ban. governance
- Political optics: the committee chair publicly criticised industry 'marketing campaigns' against the tax bill; an operator seen to be lobbying aggressively risks hardening the legislature's stance. governance
- Data transparency: the WGC publishes PDFs via Google Drive with no machine-readable series, and FY25 GGR is reported differently by AGA ($27.4m), Covers ($27.25m) and RG.org ($25.9m); operator-level net revenue is only partially disclosed. watch

8 FORECAST & OUTLOOK

Guidance bridge. There is no official guidance for a market; the 'bridge' below is our view of how the key regulatory parameters and market size move from today's position to end-2027. The swing factor is the 2027 general session (January–March 2027): the Select Committee on Gaming will carry a felony sweepstakes-ban bill with 9-0 committee backing, and the Select Committee on Capital Financing & Investments, having briefed itself in May 2026 that Wyoming's 10% rate is roughly half the national average, is likely to re-file the 20% OSW / 25% SBAG / 2.5% pari-mutuel package that failed procedurally in September 2025. On the market side, September's -14% is calendar- and DraftKings-driven; underlying growth is high-single-digit and October 2026 (five NFL Sundays) should rebound.

OSW TAX RATE	FY2026E OSW HANDLE / GGR (ESTIMATE)	ONLINE SWEEPSTAKES	ACTIVE OSW OPERATORS
10% of net → 20% proposed	**$250–255m / $26–28m**	**Unregulated → felony offence**	**5 → 5–6**
Effective burden ~6% → ~12% of GGR if enacted (2027 session; probability ~40–50%, our view)	+7–9% / roughly flat to +2% vs FY25 as hold normalises and promos fall	Committee-sponsored bill, 2027 session; high probability of passage	No cap; a sixth permit may exist unlaunched [unverified]; bet365/Hard Rock-type entry possible but not signalled

Independent view. Market: we expect FY2026 handle of ~$250–255m (+7–9%) and GGR of ~$26–28m, with FY2027 growth slowing to mid-single digits as DraftKings' promo retrenchment and the loss of three-Sunday Septembers wash through; hold should settle around 10–11%. **Tax:** we assign a 40–50% probability that a 20% OSW rate passes in 2027 — the 2025 failure was procedural (House-side committee votes) rather than substantive, revenue pressure on the General Fund persists, and LSO's comparative data undercut the industry's argument; if enacted, state OSW tax roughly doubles to ~$3.5–4m a year on current promo levels and operator net margin falls 3–4pp of GGR, with promo deductibility the next target if revenue disappoints. **Regulation:** the sweepstakes ban is likely to pass; regulated iGaming will not; HHR will face a purse-floor mandate and growing municipal moratoria rather than state-level restriction; prediction markets will be studied, not legislated, in 2027. **Leverage for an entrant:** the only durable edge is product and pricing against DK/FD in a promo-deductible regime; we would not underwrite B2C entry on a standalone Wyoming case, but a B2B/vendor-permit strategy into HHR/ADW tech or a bolt-on to a multi-state footprint is defensible at the current tax rate and marginal at 20%.

What to watch next quarter:

- January–March 2027 Wyoming general session: re-filing and fate of the 20% OSW / 25% SBAG / 2.5% pari-mutuel tax package; any move to cap promotional deductions.
- Passage and final scope of the felony online-sweepstakes bill (Select Committee on Gaming, 9-0 sponsorship, Oct-26) — whether 'similar online activities' language captures social casino, DFS pick'em or prediction markets.
- DraftKings' share trajectory (57.8% → 47.3% in twelve months) and whether FanDuel's gains (27.9%) are promo-led — monthly WGC operator tables for Q4-26, which has five NFL Sundays in October.
- Promo intensity as a share of handle (≈3.9% in Sep-26 vs ≈4.4% a year earlier) and Fanatics'/Caesars' taxable-revenue lines — the leading indicator of whether challengers can make money at 5–8% share.
- HHR local-control actions (Casper moratorium outcome) and the purse-floor bill draft, which determine whether the land-based channel keeps compounding at ~18% a year.
- WGC 2026 annual report (due ~May 2027): FY26 HHR handle, SBAG revenue, operator count and any reference to a sixth OSW permit holder.
- Any WGC rulemaking on advertising, deposit limits or affiliate marketing, and any federal change to the 0.25% handle excise (deductible from the Wyoming base).

DATA CONFIDENCE: MEDIUM Reporting currency USD; no FX conversion required. The WGC September 2026 Combined Wagering Activity Report is hosted as a Google Drive PDF and could not be parsed directly in this session; its headline figures (handle $23,417,556; GGR $2.45m; taxable revenue $1,466,874; tax $146,687; operator handles and shares) are corroborated across three independent secondary reads of the report (LegalSportsBetting.com, RG.org, BettingInWY.com) and the Gaming Intelligence lead. Derived figures (promo deductions, DraftKings handle, Sep-25 operator shares, Aug-26 tax, HHR tax at 1.9%, FY26 estimates) are marked ~ or 'estimate'. FY25 OSW GGR differs by source (AGA/WGC $27.4m; Covers $27.25m; RG.org $25.9m) — we use the WGC/AGA figure. Not re-verified this session and flagged in text: the ≥3-other-jurisdiction licensing requirement, the crypto/virtual-currency funding rule text, the exact name of the national self-exclusion programme joined in Dec-25, the LSO reference to six licensed operators, tribal casino GGR and WyoLotto sales (n/a).

Sources: [Primary] Wyoming Gaming Commission — Combined Wagering Activity Reports (index; September 2026 PDF: 09 Sep 2026 – Wyoming Gaming Commission.pdf); [Primary] Wyoming Gaming Commission — Financial Reports / Revenue Reports hub; [Primary] W.S. 9-24-101 Definitions — 'online sports wagering revenue' (Justia, 2024 Wyoming Statutes); [Primary] HB0133 (2021) Online Sports Wagering — enrolled act (permit fees, terms, tax, distribution); [Primary] Wyoming LSO Short Report — Gaming Revenue Distribution and Tax Rates in Other States (Select Committee on Gaming, 14 May 2026); [Primary] Wyoming LSO — Gaming Revenues Fact Sheet (Select Committee on Capital Financing & Investments, May 2025); [Primary] HB0171 (2026) Funds for problem gaming treatment — amendments (not considered for introduction, 13 Feb 2026); [Primary] Wyoming Gaming Commission — Online Sports Wagering Final Rules (2021; Vixio-hosted copy); [Secondary] American Gaming Association — State of the States 2026: Wyoming (FY25 GGR $27.4m, tax $1.9m, May-25 harassment rule); [Secondary] Gaming Intelligence — Wyoming sportsbooks see 14% fall in September wagers (27 Oct 2026) [lead; paywalled]; [Secondary] LegalSportsBetting.com — Wyoming Sports Betting Taxes Jump 40% Despite Handle Drop (22 Oct 2026; operator-level read of WGC report); [Secondary] RG.org — Wyoming Sports Betting Revenue Insights (Sep-26 handle $23,417,556; taxable $1,466,874; tax $146,687); [Secondary] BettingInWY.com — Wyoming Sports Betting 2026 (monthly timeline: Mar/Jun/Jul/Aug/Sep-26 handle, hold, shares); [Secondary] Covers — Wyoming Betting Revenue & Handle tracker (FY25 handle $234.5m; Jan-26 data); [Secondary] Legal Sports Report — US revenue tracker (Wyoming lifetime handle $905.6m, GGR $96.4m, tax $6.05m); [Secondary] Legal Sports Report — Wyoming sports betting law & legislation page; [Secondary] Antlers Arch — Wyoming Sports Betting Handle Jumps 19% YoY (Sep-25: $27.3m handle, $2.32m GGR; HHR $206.7m); [Secondary] Focus Gaming News — Wyoming sports betting handle rises in March (Mar-26: $28.5m; HHR $243.9m by licensee; Dec-25 self-exclusion); [Secondary] WyoFile / Wyoming Tribune Eagle — Wyoming lawmakers pursue more gambling legislation (15 May 2026; HHR $2.49bn, 1.9% levy, iGaming bill draft); [Secondary] Oil City News — Wyoming gaming revenue surges past billions as Casper considers freeze (22 May 2026; 1,314 terminals/46 sites; 4,115 SBAG, $133.7m); [Secondary] Wyoming Public Media — HHR machines steadily increase returns to localities (21 May 2026); [Secondary] KOTA/WyoFile — Wyoming lawmakers advance bill to ban online sweepstakes games (10 Oct 2026); [Secondary] Yogonet — Wyoming lawmakers propose felony ban on online sweepstakes games (12 Oct 2026); [Secondary] US Gaming Review — Wyoming Committee Stalls Sweepstakes Casino Ban (6 Aug 2026); [Secondary] Wyoming Tribune Eagle — Committee adjourns early after failing to agree on gambling taxation (Sep 2025); [Secondary] Wyoming Tribune Eagle — Wyoming lawmakers move to increase state's share of gambling revenue (LSO: 19% average; $300k earmark); [Secondary] Cowboy State Daily — Legislators propose tax hikes on sports, horse racing and machine betting (14 Jun 2025); [Secondary] Yogonet — Wyoming lawmakers propose doubling sports betting tax rate to 20% (18 Jun 2025; $3.8m tax on $69m revenue since launch); [Secondary] CDC Gaming — Wyoming: September sports betting handle up 18% YoY (Oct 2024; SBAG 20% tax mechanics); [Secondary] Action Network — Will Wyoming Introduce a New Online Casino Bill in 2026? (HB 120 / HB 162 history); [Secondary] RG.org — US Sports Betting Statistics November 2026 (US September totals for scale context).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.